

THE MONEY GUIDE FOR COLLEGE ATHLETES

The NIL Playbook

How to keep, grow, and protect your NIL money — without getting ripped off by fees you never agreed to.

No jargon. No suits. No fees you didn't sign up for.

Start here

You earned this money. This guide is about keeping it.

Getting NIL money is exciting — and a little overwhelming. Suddenly there are taxes, "advisors," people in your DMs, and a hundred decisions nobody ever taught you how to make. This guide fixes that. It explains everything in plain English, like a teammate would, with zero assumptions about what you already know.

If a word might be unfamiliar, we explain it the moment it shows up. If a number matters, we show you a real example with real dollars so you can picture it. You do **not** need any money experience to understand this.

The whole guide in one sentence:

Pay your taxes, dodge the fees, keep it simple, don't get scammed — and let boring investments do the work.

How to read it

You don't have to read it all at once. Every chapter ends with a **"Do This Now"** box — the actual steps to take. If you only ever do those boxes, you'll already be ahead of almost every athlete out there. Chapter 7 ties every step together into one plan, sorted by how much you earn.

One important note. This guide is **education, not personalized advice**. It teaches you how money, taxes, fees, and investing work so you can make smart choices and ask the right questions. It is not a recommendation to buy any specific investment, and it isn't a substitute for a licensed tax or financial professional who knows your exact situation (Chapter 6 shows you how to find a good one who won't overcharge you). Investing always carries risk, including the possible loss of money you put in.

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Don't Fumble the First Check

The first check feels like a prize. The athletes who stay wealthy treat it like a tool.

Getting your first NIL check feels like winning a game. The danger is treating it like a trophy instead of a tool. A trophy sits on a shelf and looks good. A tool builds something. This money can build the rest of your life — but only if you treat it the right way from day one.

Three truths nobody tells you:

- **NIL money is not "extra" money.** It's income, exactly like a paycheck — and the government treats it that way (that's Chapter 2).
- **It probably won't last forever.** Most NIL deals are short. The money you make this year may need to stretch across years.
- **The goal isn't to look rich. It's to actually be rich later.** Looking rich is loud — the car, the chains, the bottle service. Being rich is quiet — it's the money working for you where nobody can see it.

PICTURE IT LIKE THIS

Think of your NIL money like water during a long season. You can chug the whole bottle the second you're thirsty and have nothing left for the fourth quarter — or you can sip it smart and finish strong. Same bottle. Totally different outcome.

Why pro athletes go broke

You've heard it: tons of pro athletes end up broke a few years after they stop playing. It's almost never because they didn't earn enough. It's four mistakes, every time:

1. They spent like the money would never stop coming.
2. They trusted the wrong people with it.
3. They paid huge fees for years and never noticed.
4. Nobody ever taught them the basics.

This guide is the cure for all four. You're reading it — which means mistake #4 is already off the table.

The three mistakes that do the most damage

1. Spending it before taxing it

That \$20,000 deal is not \$20,000 of spending money. Roughly a quarter to a third of it belongs to the government. Spend the whole thing and you'll owe money you no longer have. (Chapter 2 makes this painless.)

2. Handing it to the wrong "advisor"

The person who offers to "manage" your money might quietly charge you a fee every year that costs you a fortune over time. Chapter 3 shows you exactly how this works and how to avoid it.

3. Lifestyle creep

"Lifestyle creep" is when every new dollar you earn gets spent leveling up how you live — a nicer car, then nicer clothes, then a nicer everything. The problem: a car loses value the moment you drive it off the lot. Money you invest *grows*. Every dollar spent looking rich is a dollar that can't make you rich.

You don't have to be cheap. You just have to wait — and tell the difference between a want and a flex.

✓ DO THIS NOW

- ☐ Decide **before** the money lands: "This is a tool, not a trophy."
- ☐ Make one rule: **no big purchases for 30 days** after any new deal. Let the excitement cool off. If you still want it in a month, fine — usually you won't.
- ☐ Read Chapter 2 **before** you spend a dollar of NIL money.

Taxes First

This is the chapter that saves you from a disaster. Read it twice.

Here's the trap: when you have a normal job, your employer quietly takes taxes out of every paycheck before you ever see the money. With NIL money, **nobody does that for you**. The full amount lands in your account looking like it's all yours — but a chunk of it secretly belongs to the government, and the bill comes later. If you've already spent it, that bill becomes a nightmare.

PICTURE IT LIKE THIS

Imagine a friend hands you \$1,000 to hold, but \$300 of it actually belongs to someone else who'll come collect next year. If you spend all \$1,000, you're now \$300 in the hole to someone you can't avoid. That "someone" is the IRS. The fix is simple: set their share aside the moment the money arrives.

What you actually owe

When you earn NIL money, the government basically treats you like you run your own little business (they call it being "self-employed"). That means you may owe a few different taxes:

- **Federal income tax** — the main tax everyone knows. The rate depends on your total income for the year.
- **State income tax** — depends on where you live. Some states charge none; others take a noticeable cut.
- **Self-employment tax (about 15%)** — this is the surprise that catches everyone. It covers Social Security and Medicare. At a normal job your employer pays half of this for you. When you're self-employed, you cover the whole thing yourself.

PICTURE THIS: A \$10,000 DEAL

You sign a \$10,000 NIL deal. It feels like \$10,000. But between federal, state, and self-employment tax, you might owe somewhere around \$2,500–\$3,500 of it when tax time comes. If you set aside \$3,000 the day it landed, you're totally fine. If you spent all \$10,000, you now owe thousands you don't have. Same deal — the only difference is one simple habit.

*The rule that saves you: the moment any NIL money lands, move **30%** into a separate savings account and pretend it doesn't exist.*

"Quarterly taxes" — paying 4 times a year

Because no employer is taking taxes out for you, the government doesn't want to wait until April to get paid. They expect you to send in estimated tax payments **four times a year** — roughly April, June, September, and January. These are called "quarterly estimated taxes." Skip them and you can get hit with small penalties on top of the tax. It sounds intimidating; it's really just four reminders in your calendar, and a tax pro (below) sets it up for you the first time.

Good news: expenses can lower your bill

Because you count as self-employed, money you spend to *make* your NIL income can reduce the tax you owe. These are called "business expenses" or "write-offs." Things like:

- Travel to appearances or shoots
- Equipment or gear you buy for content
- A portion of your phone bill (you use it for deals)
- Fees you pay an agent, editor, or marketer

The catch: you have to **keep the receipts**. A free receipt app or even a single folder is enough. Every receipt you keep can be money back in your pocket.

The "1099" form

Any company that pays you \$600 or more will usually send you a tax form called a **1099** at the start of the next year. It simply reports how much they paid you. Important: the IRS gets a copy too. So the income is on record whether you report it or not — always report it. Hiding NIL income is not a risk worth taking.

✓ DO THIS NOW

- ☐ Open a **separate savings account just for taxes**. The day any NIL money lands, move **30%** into it and don't touch it.
- ☐ Start a **receipts folder** (a free app or one physical folder) for anything you buy related to your NIL work.
- ☐ Put the four **quarterly tax dates** in your phone calendar today: April, June, September, January.
- ☐ Before your first real tax season, spend about **\$200–\$400 on one session with a CPA** (a tax professional). This is the one pro worth paying early — they'll save you far more than they cost.

The Fee Trap

This chapter puts the most money back in your pocket. Fees are invisible — which is exactly why they're so dangerous.

A fee never sends you a bill. It doesn't ask permission. It just quietly skims a little off your money, over and over, year after year. Because you never *feel* it, most people never question it. That's how a "small" fee turns into a giant pile of money — yours — ending up in someone else's pocket.

Why a "tiny" 1% fee is actually enormous

Lots of money managers charge "1% per year." One percent sounds like nothing. Here's why it's a monster:

- That 1% is taken from your **entire pile of money, every single year** — whether they made you a profit or not.
- Worse, it's 1% of money that *would have kept growing*. Every dollar taken in fees is a dollar that can never grow into more dollars.

PICTURE IT LIKE THIS

Imagine a tiny hole in your water bottle. One drop a second — you barely notice it. But leave that bottle out all day and it's empty. A 1% fee is that slow leak, except it runs for 40 years and the "water" is your retirement.

PICTURE THIS: THE COST OF 1%

Two athletes invest the same money the same way starting in their 20s. One pays a 1%-a-year advisor; the other uses a near-free index fund (Chapter 5). Decades later, the fee alone can eat **\$300,000 to \$500,000+** of the first athlete's money. Same investments. Same effort. The *only* difference is the fee. That's a house — gone, quietly, to fees.

The three ways people get overcharged

1. Percentage-of-your-money advisors (1%+ per year)

The most common trap. They take a slice of everything you have, every year, forever. This can make sense for someone with millions and a genuinely complicated situation. For a young athlete with a simple setup, it's wildly overpriced.

2. Commission salespeople

Some "advisors" are really salespeople who get paid a commission to sell you specific products. The product that pays *them* the most is rarely the one that's best for *you*.

RED FLAG

Be very skeptical of anyone pushing "**whole life insurance**" or "**annuities**" on a healthy 20-year-old athlete. These products pay the salesperson a big commission and are almost never the right move for someone your age.

3. High-fee funds (the "expense ratio")

Even with no advisor at all, an investment itself can have a fee baked in. It's called the "**expense ratio**" — the percentage a fund charges you each year just to own it. Some funds charge 1% or more. A good, simple index fund charges around **0.03%–0.10%** — basically nothing. Same idea, up to 30 times cheaper. Always check this number before buying any fund.

What good actually costs

Option	Roughly what it costs	Worth it?
Do-it-yourself index funds	~0.03–0.10% / year (almost free)	Yes — for most athletes
Flat-fee / hourly planner (one-time advice)	A few hundred dollars, once	Yes — when things get complex
1%-of-everything advisor (ongoing)	\$300k–\$500k+ over a lifetime	Rarely — usually overkill
Commission products (whole life, annuities)	Hidden, often huge	Almost never for young athletes

The one phrase that protects you

Learn these two words: "**fee-only fiduciary**."

- A **fiduciary** is someone legally required to put your best interest first.
- **Fee-only** means they make money *only* from a fee you agree to — never from secret commissions for selling you stuff.

*Ask any advisor, straight up: "Are you a fee-only fiduciary, and how exactly do you get paid?"
If the answer is fuzzy or they dodge it — walk away.*

✓ DO THIS NOW

- ☐ Before paying **anyone** to manage your money, ask: "How do you get paid?" Make them say an actual number.
- ☐ Never buy a fund without checking its **expense ratio**. Aim for under 0.20%; the best are under 0.10%.
- ☐ Be deeply skeptical of anyone selling **whole life insurance or annuities** to a young, healthy athlete.

The Simple Foundation

Investing is exciting. But if you skip the foundation, one bad week can wipe it out. Do these first, in order.

Before you put a single dollar into investments, you build a base that keeps you steady when life gets bumpy. Think of it like stretching before you play — boring, but it's what keeps you from getting hurt.

Step 1 — Build a starter emergency fund

An "emergency fund" is just cash you set aside for life's surprises — a last-minute flight home, a cracked phone, a medical bill. Without it, an emergency forces you to borrow money or sell your investments at the worst possible time.

Start with a goal of **\$1,000 saved**. Over time, build toward **3 to 6 months of your basic living costs**. Keep this money somewhere safe and easy to reach — not invested, not at risk.

Step 2 — Put your cash in a "high-yield" savings account

A regular savings account at a big bank pays you almost nothing — like a few cents a year. A "**high-yield savings account**" (offered by many online banks) pays you real interest for the exact same safety. Same protection, same easy access — it just actually pays you.

PICTURE IT LIKE THIS

It's the same \$5,000 sitting in a vault. One vault pays you a few cents a year; the other pays you real money — for doing absolutely nothing different. There's no reason to pick the empty one.

Use a high-yield savings account for your **emergency fund** and your **tax set-aside** from Chapter 2. Just know: this is safe storage that earns a little — it is *not* investing. That comes next.

Step 3 — Wipe out high-interest debt

If you owe money on a **credit card**, that debt usually grows at 20% or more per year — faster than almost any investment could ever grow your money. Paying it off is like earning a guaranteed 20% return. Nothing else comes close.

PICTURE THIS

You have \$1,000 on a credit card charging 22%, and you're wondering whether to invest \$1,000 instead. Paying off the card is a guaranteed 22% "return." A typical investment might average far less and isn't guaranteed. The math isn't close — kill the card debt first.

(Lower-interest debt, like some student loans, is less urgent — that's a conversation for the planner in Chapter 6.)

✓ DO THIS NOW

- ☐ Open a **high-yield savings account** online — it takes about 5 minutes.
- ☐ Move your **\$1,000 starter emergency fund** into it (this is separate from your tax account).
- ☐ List any debts and their interest rates. Anything above ~8–10%, attack it now, starting with credit cards.

Investing Without Getting Ripped Off

Now the fun part — making your money grow. The secret nobody believes at first: good investing is supposed to be boring.

Forget everything movies taught you about investing — the yelling, the screens, the guy picking the perfect stock. Real wealth-building is calm and boring. Exciting is how people *lose* money. Boring is how they keep it and grow it.

The big idea: own a little of everything, cheaply, for a long time

You do not need to pick winning companies. You don't need to watch the news or stare at charts. You just need to own a tiny piece of *thousands* of companies at once, and then leave it alone for years. There's one simple tool that does this for you: an **index fund**.

What's an index fund? (in plain English)

Betting on a single company is risky — if it crashes, you crash with it. An **index fund** solves that. With one purchase, it buys a tiny slice of *all* the big companies at once. So you're not betting on one team winning — you're betting that the whole economy grows over time, which historically it has.

PICTURE IT LIKE THIS

Picking one stock is like betting your whole paycheck on a single player to score. An index fund is like betting on the entire league — if the sport grows, you win, and no single player having a bad night can wipe you out. It's automatically spread out, and it's almost free to own.

A fund that tracks the "**total stock market**" or the "**S&P 500**" (a basket of 500 of the biggest U.S. companies) is the classic, boring, effective choice. Here's the kicker: this simple approach **beats most highly-paid professional stock-pickers** over time. That's not a theory — most expensive pros fail to beat a basic index fund. You win by being simple and cheap.

Where you keep it matters too: the Roth IRA

This part sounds complicated and isn't. *Where* you hold your investments changes how much tax you pay on the profits. For most young people, the best starter "container" is a **Roth IRA**.

- You put in money you've **already paid tax on** — and then **all the growth comes out completely tax-free**. Decades of profit, zero tax when you take it out later.
- Because you're young, that tax-free growth has *decades* to compound. It's worth an enormous amount.

- There's a yearly limit on how much you can put in (a few thousand dollars), and an income limit, but most college athletes fit easily.

DON'T GET CONFUSED

A Roth IRA is not an investment itself — it's the *bucket*. You open the bucket at a brokerage, then put index funds *inside* it. Opening a Roth IRA but not buying anything inside is like buying a fridge and never putting food in it.

The "boring portfolio" that quietly wins

Here's the whole strategy (remember: general education, not a personal recommendation for your exact situation):

1. Open a **Roth IRA** at a big, low-cost brokerage (the well-known ones charge \$0 to open and to buy).
2. Inside it, buy a **broad, low-cost index fund** (total market or S&P 500, expense ratio under 0.10%).
3. **Add money regularly** — automatically, every month, no matter what the news says.
4. **Don't touch it.** Don't panic and sell when it drops. Drops are normal and temporary.

PICTURE THIS: WHY STARTING YOUNG WINS

Money invested young has the most time to "compound" — that's when your money earns money, and then *that* money earns money too, like a snowball rolling downhill. A small amount invested in your early 20s can grow into far more than a larger amount invested in your 40s, purely because it had more time. Starting young is the single biggest advantage you have. Don't waste it.

What to avoid

STAY AWAY FROM

Meme stocks, crypto gambling, day-trading, "hot tips" from the internet. That's entertainment, not investing. If you ever play with it, use only money you can afford to lose completely — never your foundation. And avoid anything you can't explain in one simple sentence; if you don't understand it, don't buy it.

✓ **DO THIS NOW**

- ☐ Open a **Roth IRA** at a major low-cost brokerage.
- ☐ Set up an **automatic monthly deposit** — even a small one to start. The habit matters more than the amount.
- ☐ Inside the Roth, buy a **broad, low-cost index fund**. Then leave it alone.
- ☐ Make yourself one promise: **no panic-selling when it dips. Ever.**

Protecting Yourself

Money attracts people. The more visible you are, the more they come. This chapter keeps your money — and your name — safe.

Spotting scams and bad actors

Most money scams share the same handful of warning signs. Learn them once and you'll spot them for life:

RUN IF YOU HEAR ANY OF THESE

"Guaranteed" returns. No real investment guarantees big returns. None. Ever.

"You have to act right now." Urgency is a manipulation trick. Real opportunities can wait a day.

You don't understand it. Confusion is a sales tactic. If they can't explain it simply, that's on purpose.

They slid into your DMs. Be extremely skeptical of any unsolicited "opportunity," crypto coach, or "I help athletes" cold message.

The "friends and family with a deal" problem

The hardest money situations usually aren't strangers — they're people you love. A cousin's business that needs money. A teammate's "can't-miss" startup. A family member who needs a loan. Saying no feels terrible. But saying yes to the wrong one can sink you.

A simple rule keeps you safe and keeps the relationship intact:

Only ever risk money you'd be genuinely okay never seeing again — and never your tax money, emergency fund, or retirement.

"No" is a complete sentence. And if you want an easy out, blame your plan: *"My money's all locked into a long-term setup, I literally can't touch it right now."*

Read before you sign

NIL deals are contracts — legally binding promises. Before you sign anything meaningful, look for:

- **Exclusivity:** Does this deal block you from working with competitors?
- **Length:** How long are you locked in?
- **Rights:** What can they use — your name, your face — where, and for how long?
- **Your obligations:** What exactly do you have to deliver (how many posts, appearances)?

If a deal is more than pocket change, **have someone who understands contracts review it first**. A short paid review is cheap insurance against a bad multi-year commitment.

Should you set up an LLC?

As your income grows, you might hear about forming an "LLC" — basically making your NIL activity into an official little business. It can offer some tax flexibility and legal protection. It's **not** necessary for your first small deals, and setting one up too early just adds paperwork. File it under "questions to ask a CPA once I'm earning steadily" — not something to rush into.

When you actually DO need a pro (without overpaying)

You don't need a full-time money manager taking a cut of everything. But there are a few pros worth paying — the right way:

Pro	When you need them	How to pay
CPA (tax pro)	As soon as you have real NIL income	Flat fee per session
Fee-only financial planner	When your money situation gets complex	Flat or hourly — never a % of your money
Lawyer	To review big or long contracts	Flat or hourly

However you hire, ask the same questions: **"Are you a fee-only fiduciary? How do you get paid? What's the total cost to me, in dollars?"** Prefer flat or hourly fees over anyone who wants an ongoing percentage of everything you own. Get it in writing, and walk away from anyone vague about how they're paid.

✓ DO THIS NOW

- ☐ Adopt the rule: **an unsolicited DM "opportunity" is never real**. Delete and move on.
- ☐ Decide your personal **"money I'd never miss" limit** for helping friends and family — and never cross it.
- ☐ For any meaningful contract, **get a paid review before signing**.
- ☐ Save the magic question in your phone notes: *"Are you a fee-only fiduciary, and how exactly do you get paid?"*

Your Year-One Plan

Everything in this guide, turned into one simple checklist. Do them in order.

The universal order of operations

No matter how much you earn, this is the order:

1. **Set aside 30% for taxes** the day money arrives — separate account. (Ch. 2)
2. **Build a \$1,000 starter emergency fund** in a high-yield savings account. (Ch. 4)
3. **Pay off high-interest debt** (credit cards first). (Ch. 4)
4. **Grow the emergency fund** toward 3–6 months of expenses. (Ch. 4)
5. **Open a Roth IRA** and start automatic monthly investing into a low-cost index fund. (Ch. 5)
6. **Keep it boring** — keep adding, don't touch the investments. (Ch. 5)
7. **Protect yourself** — scam rules, contract reviews, the magic question. (Ch. 6)

Tailored to how much you earn

If you're earning about \$1,000–\$10,000 a year

- The tax set-aside still comes first, even on small amounts.
- Build that \$1,000 emergency fund.
- Open the Roth IRA and invest even \$25–\$50 a month — at this stage the *habit* matters far more than the amount.
- Do **not** pay anyone a percentage to manage this. Your situation is simple enough to handle yourself.

If you're earning about \$10,000–\$50,000 a year

- Everything above, but with bigger set-asides and a full 3–6 month emergency fund.
- **See a CPA** before your first tax season — non-negotiable at this level.
- Try to put in the maximum your Roth IRA allows each year.
- Start a real receipts/expenses system to lower your tax bill.
- Ask your CPA whether forming an LLC makes sense yet.

If you're earning \$50,000 or more a year

- Everything above, plus:

- A **CPA is mandatory**, and those quarterly tax payments really matter now.
- Consider a **one-time, flat-fee financial planner** (a fee-only fiduciary) for a personalized plan — paid hourly or flat, *never* as a percentage of your money.
- Get **every significant contract** reviewed by a lawyer.
- Stay disciplined. The bigger the money, the louder the temptation and the more people show up. Your boring plan is your edge.

The plan never really changes — only the numbers get bigger. Master it now while the stakes are smaller, and you'll handle the big checks like a pro.

Quick Reference & Glossary

The 10-second gut checks

- **Before spending a new check:** "Did I move 30% to taxes? Have I waited 30 days?"
- **Before buying any investment:** "What's the expense ratio? Do I actually understand it?"
- **Before hiring anyone:** "Are they a fee-only fiduciary? How do they get paid, in dollars?"
- **Before any 'opportunity':** "Is it guaranteed or urgent? Then it's probably a scam."

The magic questions for any advisor

1. "Are you a **fiduciary**, legally required to act in my best interest — in writing?"
2. "Are you **fee-only**, or do you earn commissions from products you sell me?"
3. "What is the **total cost to me, in dollars**, per year?"
4. "Can you explain your recommendation in plain English?"

Glossary — every term, in plain English

Index fund

A single investment that owns a tiny piece of hundreds or thousands of companies at once. Cheap, spread-out, boring, and effective.

Expense ratio

The yearly fee a fund charges you to own it, shown as a percentage. Lower is better — under 0.10% is great.

Roth IRA

A retirement "bucket" you fund with money you've already paid tax on; all the growth later comes out tax-free. Excellent for young earners.

High-yield savings account (HYSA)

A safe savings account that actually pays meaningful interest. Perfect for your emergency fund and tax money.

Fiduciary

Someone legally required to act in your best interest.

Fee-only

An advisor paid only by a fee you agree to (flat or hourly) — never by hidden commissions. The honest model.

The tax form a company sends reporting money it paid you. The IRS gets a copy, so always report it.

Estimated / quarterly taxes

Tax payments you make four times a year because no employer is withholding for you.

Self-employment tax

The roughly 15% tax covering Social Security and Medicare that you owe when you work for yourself.

Compounding

Your money earning money — and then *that* money earning money too. A snowball that grows faster the longer it rolls. The reason starting young is a superpower.

LLC

A simple way to turn your activity into an official business, which can offer tax flexibility and legal protection. Usually only worth it once you're earning steadily.

Expense / write-off

Money you spend to earn your income, which can lower your tax bill. Keep the receipts.

You don't have to be a finance genius.

You just have to do a few simple things and avoid a few big mistakes. Pay your taxes.

Dodge the fees. Keep it boring. Don't get scammed.

Do that, and the money you're earning right now can set you up for the rest of your life
— long after the games are over.

The NIL Playbook — for the people who earned it.

Disclaimer. The NIL Playbook provides educational content only. It is not personalized financial, tax, investment, or legal advice, and nothing in it is a recommendation to buy any specific investment or product. Tax rules, contribution limits, and rates change over time and vary by individual and state — confirm current details with a licensed professional who knows your situation. Investing involves risk, including possible loss of the money you invest.